

BANR — Strategic Takeout Analysis

Cross-check on the standalone long thesis

Takeout range: \$55.73 – \$83.59

Base case 1.55x: \$71.98 (+6.2% vs. \$67.76 price)

Strategic premium \$83.59 converges with standalone \$82 target

Thesis

BANR's standalone case (see the **Long BANR pitch memo**) values the stock at \$82.02 / +21.1% upside using peer P/E, normalized P/E and price-to-book re-rating. This memo tests whether **strategic takeout value** arrives at a similar place with a different method: applying community-bank M&A multiples (industry ranges, not specific deals) to BANR's tangible book value. At 1.46x P/TBV on April 23, 2026, BANR **already trades above** a routine deal multiple (~1.35x), meaning the market embeds some M&A premium. A genuine strategic bid for a scarce PNW franchise with peer-leading ROE could reach **1.80x P/TBV, or roughly \$83.59**, a level that *converges with* the standalone price target.

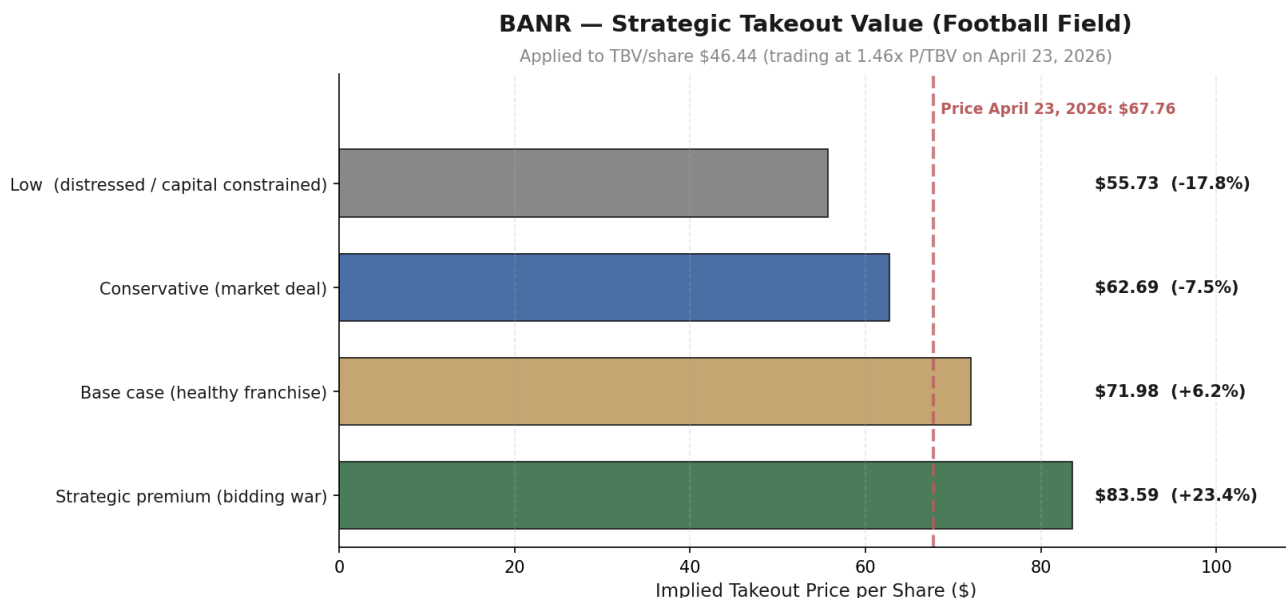
Why BANR Is a Realistic M&A Target

- **Size:** \$16.4B assets, large enough to matter and small enough for a regional acquirer to absorb.
- **Scarce franchise:** community-banking footprint across Washington, Oregon, California and Idaho that would be hard to build from scratch.
- **Peer-leading profitability:** 10.0% ROE, 1.19% ROA; acquirers generally pay more for higher-ROE franchises.
- **Capital:** equity/assets of 11.9% (fiscal 2025 10-K).

Takeout Valuation Football Field

Scenario	P/TBV	Implied Price	Premium
Low (distressed / capital constrained)	1.20x	\$55.73	-17.8%
Conservative (market deal)	1.35x	\$62.69	-7.5%
Base case (healthy franchise)	1.55x	\$71.98	+6.2%
Strategic premium (bidding war)	1.80x	\$83.59	+23.4%

Applied to BANR's TBV per share of \$46.44 (fiscal 2025 10-K equity less goodwill of \$373M, divided by 33.9M shares). The P/TBV multiples are community-bank M&A multiples (industry ranges, not specific deals); they are assumptions, not multiples from specific comparable transactions. Other intangibles (\$1.5M) were not deducted; the effect is about \$0.04 per share.



Plausible Strategic Acquirers (Shortlist)

Ticker	Name	Rationale
GBCI	Glacier Bancorp	PNW/Mountain West-focused, conservative-culture community bank; explicit growth-via-acquisition strategy; low-cost deposit franchise overlaps well with BANR's PNW footprint.
ZION	Zions Bancorporation	Western-US regional bank, \$89B assets; has done large acquisitions historically; BANR's PNW franchise would strengthen Zions' relative geographic weakness in OR/WA.
FIBK	First Interstate Bank	\$27B-asset western regional; recent deal history (Great Western acquisition); similar community-banking culture makes integration risk lower.
WAFD	WaFd Bank (Washington Federal)	Washington-based \$27B-asset bank shifting toward commercial banking; recent Luther Burbank acquisition shows M&A capability; adjacent geography.

Illustrative only. Asset sizes from each bank's latest SEC filing available on April 23, 2026.

Conclusion — Convergence, Not Incremental Upside

The standalone pitch targets **\$82.02 (+21.1%)** using peer P/E, normalized P/E and P/B. Applying community-bank M&A multiples to BANR's TBV gives a different picture: the **base case \$71.98** sits below the standalone target (-12.2%), and only the **strategic-premium scenario \$83.59** converges with the standalone thesis. Two different approaches, an earnings-based re-rate and a franchise-based M&A multiple, meet at roughly the same level (~\$82-\$84) only under a bidding-war scenario. Below that, standalone value leads. This does not stack extra upside onto the pitch; it says the pitch's target already captures most of what a strategic acquirer would rationally pay. M&A is optionality, not incremental thesis.

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Text and formatting revised October 2026; acquirer asset sizes corrected to each bank's SEC filings available on April 23, 2026. Valuation figures unchanged from April 23, 2026.

Disclosures: Framework analysis only: not an M&A pitch, not a deal prediction, not investment advice. No material non-public information used; all inputs from SEC EDGAR and Yahoo Finance (market data as of April 23, 2026). Acquirer shortlist is illustrative and does not represent any actual or reported interest.